So, whenever markets are being discussed, people say things like,

Have you seen the market updates? It's on the rise.

Yes! It fell by 200 points. Economic uncertainties, they say. It's a bit rough out there.

In such cases, the market they are referring to is the index, particularly well-known ones like NSE Nifty 50 or BSE SENSEX.

NIFTY and SENSEX, comprising mainly the top 50 and 30 companies respectively listed on the stock market, are like mini portfolios offering a glimpse into the overall performance and behavior of the entire market, serving as representations of the stock market.

Then, there are some indices that reflect the performances of only specific sectors too!

Nifty **Pharma**

NIFTY Pharma which represents Pharmaceutical and healthcare companies,

S&P **BSE Auto**

S&P BSE Auto which covers the Auto Sector.

The companies included in these indices are carefully picked based on specific criteria and their weightages are adjusted regularly to reflect their performance and maintain the accuracy of the mirror.

But there is a catch: you can't directly invest in indices themselves.

So, passive funds offer the next best thing! They simply buy the same stocks as the index, and replicate its performance.